

HUMAN RESOURCE PLANNING AND PERFORMANCE APPRAISAL

Activity Report

Name: Avidi Mahima Santhi

Roll No.: 23B01a4206

Class/Section: AIML-A

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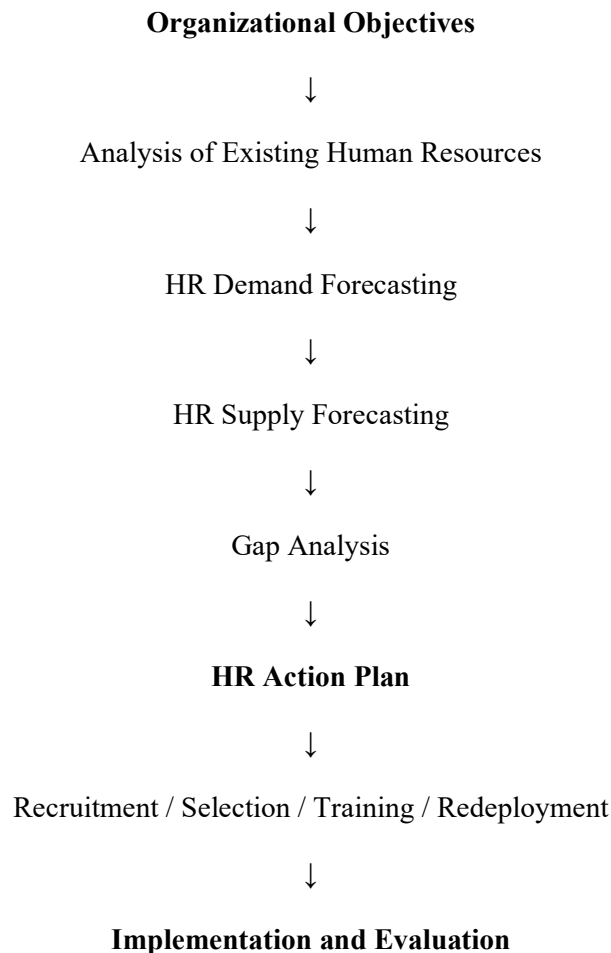
1. Human Resource Planning Process

Human Resource Planning (HRP) is the systematic process of determining an organization's future human resource requirements and developing plans to ensure that the right number of people with the right skills are available at the right time and place. HRP connects the organization's business objectives with its workforce requirements.

Objectives of Human Resource Planning

- To ensure the availability of qualified employees when required.
- To identify future manpower shortages and surpluses.
- To support recruitment, selection, training and development decisions.
- To make effective use of existing human resources.
- To reduce unnecessary labour costs and improve productivity.
- To prepare employees and the organization for future changes.

Human Resource Planning Process – Flowchart



HR Demand Forecasting

HR demand forecasting estimates the number and type of employees an organization will need in the future. It considers factors such as business growth, production levels, technology, employee productivity, expansion plans, retirement and expected turnover.

- Common methods include:

- Managerial judgment
- Trend analysis
- Ratio analysis
- Work-study and workload analysis
- Delphi technique

HR Supply Forecasting

HR supply forecasting estimates the availability of employees from internal and external sources. Internal supply is assessed through employee inventories, skills databases, succession plans, promotions and transfers. External supply is influenced by labour-market conditions, educational institutions, unemployment levels, migration and availability of required skills.

Gap Analysis

After forecasting demand and supply, the organization compares the two. If demand is greater than supply, a manpower shortage exists and recruitment or training may be required. If supply is greater than demand, the organization may use redeployment, reduced recruitment, voluntary retirement or other workforce adjustments.

Job Design

Job design is the process of defining the tasks, responsibilities, authority, methods and relationships associated with a job. A well-designed job improves employee motivation, productivity and satisfaction.

- Job rotation – moving employees between different jobs.
- Job enlargement – increasing the number of tasks at the same level.
- Job enrichment – adding greater responsibility, autonomy and decision-making authority.
- Job simplification – dividing work into simple, specialized tasks.

Recruitment

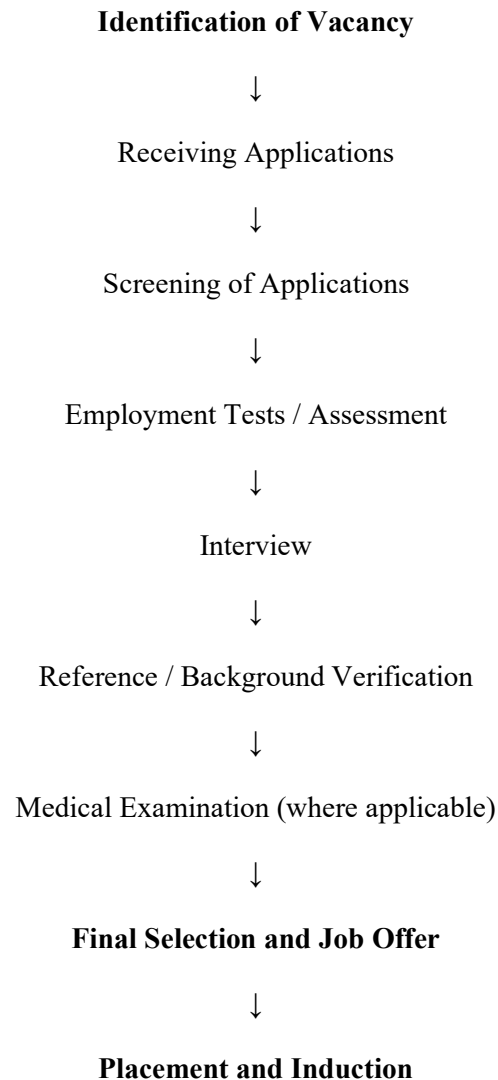
Recruitment is the process of identifying, attracting and encouraging suitable candidates to apply for job vacancies. The purpose is to create a qualified pool of applicants from which the organization can select the best candidates.

Sources of Recruitment

- Internal Sources:
 - Promotions
 - Transfers
 - Employee referrals
 - Internal job postings
 - Re-employment of former employees
- External Sources:
 - Company career websites
 - Job portals and online recruitment platforms
 - Campus recruitment
 - Employment agencies
 - Newspaper and professional advertisements

- Walk-in interviews
- Professional networks and social media

Selection Procedure – Flowchart



Selection is the process of choosing the most suitable candidate from the pool of applicants. A systematic selection procedure helps organizations appoint competent employees and reduces the risk of poor hiring decisions.

2. Performance Appraisal

Performance appraisal is a systematic process of evaluating an employee's job performance against established standards or objectives. It provides information about an employee's strengths, areas for improvement, achievements and future development needs. Performance appraisal can be formal or informal and may be conducted periodically.

Objectives of Performance Appraisal

- To measure employee performance against predetermined standards.
- To provide constructive feedback to employees.
- To identify training and development needs.
- To support decisions relating to promotion, transfer and rewards.
- To improve communication between employees and managers.
- To identify strengths and areas requiring improvement.
- To align individual performance with organizational objectives.

Importance of Performance Appraisal

- Improves employee performance through regular feedback.
- Helps identify high-performing employees and potential future leaders.
- Provides a basis for training and career development.
- Supports fair and informed compensation and promotion decisions.
- Improves employee motivation when achievements are recognized.
- Helps managers understand workforce capabilities and development requirements.

Methods of Performance Appraisal

Rating Scale: Employees are rated on factors such as quality, quantity, punctuality, teamwork and initiative.

Checklist Method: The evaluator uses a list of statements and indicates whether each statement applies to the employee.

Critical Incident Method: The evaluator records significant examples of exceptionally good or poor performance.

Ranking Method: Employees are ranked from highest to lowest according to overall performance.

360-Degree Feedback: Feedback is collected from managers, peers, subordinates, customers and sometimes the employee.

Management by Objectives (MBO): Employees and managers jointly set measurable objectives and evaluate performance based on achievement.

Self-Appraisal: Employees assess their own performance, achievements and development needs.

Career Development

Career development is a continuous process through which employees identify career goals and acquire the knowledge, skills, experience and opportunities required to achieve them. It benefits both employees and organizations by improving employability, motivation, retention and succession planning.

- Training and skill development

- Mentoring and coaching
- Job rotation and challenging assignments
- Promotions and career paths
- Succession planning
- Continuous learning and professional development

Career Counseling

Career counseling is the process of helping employees understand their interests, abilities, strengths, career goals and available career opportunities. A manager, HR professional or trained counselor may help employees evaluate career options and prepare development plans.

- Major steps:
 - Understanding the employee's interests and strengths
 - Identifying career goals
 - Assessing skills and development gaps
 - Exploring suitable career opportunities
 - Preparing an action plan
 - Reviewing progress periodically

Group Interaction in Organizations

Group interaction refers to communication, cooperation and relationships among members of a work group. Effective group interaction helps employees share ideas, solve problems, coordinate activities and achieve common goals.

- Team meetings and discussions
- Brainstorming and problem-solving sessions
- Team-building activities
- Peer feedback and knowledge sharing
- Collaborative decision-making
- Conflict resolution and negotiation

Positive group interaction builds trust, improves communication, encourages creativity and strengthens team performance. Organizations should create an inclusive environment in which employees can express ideas respectfully and work toward shared objectives.

Relationship Between Performance Appraisal and Career Development

Performance appraisal and career development are closely connected. Appraisal identifies an employee's current performance, strengths and gaps, while career development uses this information to plan future growth. For example, an employee who needs stronger technical or communication skills can be provided with appropriate training, mentoring or challenging assignments. Thus, appraisal becomes a tool for continuous improvement rather than merely a method of judging past performance.

Conclusion

Human Resource Planning ensures that an organization has the right people with the right skills at the right time. Demand and supply forecasting, job design, recruitment and systematic selection help build an effective workforce. Performance appraisal further supports organizational effectiveness by measuring performance,

providing feedback and identifying development needs. Career development, career counseling and healthy group interaction help employees grow and contribute more effectively. Together, these HR practices create a productive, motivated and future-ready organization.